

Revenue Forecasting & Business Trend Analysis Report

1. Revenue Distribution by Account

- Account A contributes approximately 59% of total revenue, making it the company's largest long-term revenue source.
- Account B contributes the remaining 41%, with a significant increase in contribution during recent years.
- Even though Account A contributes more, Account B has more contribution ratio in 2025 and 2026 compared to Account A which leads to sudden spike in revenue.

2. Yearly Revenue Trends

- From 2022 to 2024, annual revenue remained relatively stable between ₹1.6B and ₹1.9B.
- In 2025, revenue increased sharply to over ₹5.5B, representing approximately 215% growth compared to 2024.
- 2026 Year-to-Date revenue has already crossed ₹2.37B, indicating continued strong business momentum.

Key Observation

The primary driver behind the 2025 revenue surge was the rapid expansion of Account B, which contributed nearly ₹3.6B in additional revenue.

3. Product-Level Performance

- Part-00149 is the highest revenue-generating product, contributing approximately ₹301M.
- Revenue concentration analysis shows that a small group of products contributes a disproportionately large share of total earnings.

Business Implication

High dependency on a limited number of products increases operational and forecasting risk if demand declines unexpectedly.

4. Trend Analysis

Monthly Trends

April–May Peak

- April records the highest average revenue and one of the highest transaction volumes.
- Beginning of the Indian financial year and new procurement cycles and budget allocations
- They are hottest month over the year. So, summer sales can be high on particular products.

December–January Peak

- December shows a major spike in average transaction value.
- January continues strong performance.
- Year-end procurement and budget utilization and Christmas sales

Moderate Mid-Year Period

- Revenue remains comparatively moderate during monsoon months.

5. Weekly Trend Insights

Strong Revenue Weeks

- Weeks 14–18 consistently show strong revenue performance due to financial-year procurement activity.
- Weeks 50–51 also demonstrate high revenue contribution during year-end business cycles.

Weak Revenue Week

- Week 43 (late October) is consistently the lowest-performing period in the dataset.

Business Questions & Recommendations

Q1. Which Weeks in the Next 30 Days Carry the Highest Revenue Risk?

The period between April 30 and May 3 carries elevated revenue risk because it includes:

- Labour Day holiday (May 1)
- Weekend operational slowdown

Reduced business activity during this period may negatively affect transaction volume and revenue generation.

Q2. If Revenue Underperforms by 15%, Which Areas Are Most Exposed?

The highest exposure lies in:

- High-revenue product lines
- High-dependency customer accounts
- Products with volatile demand patterns

Since revenue is concentrated among a small number of products and accounts, underperformance in these areas would significantly impact total business revenue.

Q3. Recommendations for the Planning Team

- Closely monitor weeks with higher forecast uncertainty.
- Prioritize inventory and supply planning for high-revenue products.
- Increase promotional activity during expected low-demand periods through:
 - Targeted advertising
 - Discount campaigns
 - Seasonal promotional offers
- Continue promotional activities for 1–2 weeks after major festive periods to reduce post-festival sales slowdowns.
- Although Account A remains the largest overall contributor, Account B has become the key growth driver in recent years. Closer collaboration with Account B regarding future order schedules and demand planning could improve forecasting accuracy and operational efficiency.

Q4. Additional Data That Would Improve Forecast Accuracy

The following datasets would significantly improve forecasting performance:

- Regional sales data
- Return and cancellation records
- Customer segmentation data
- Product category information
- Promotional and discount campaign history
- Sales channel information
- Marketing and advertising data

Final Conclusion

The business remained relatively stable between 2022 and 2024, but experienced transformational growth in 2025 primarily due to the expansion of Account B.

Without Account B, revenue growth would likely have remained stagnant near historical levels. This indicates that the company's recent expansion is heavily dependent on a limited number of high-performing accounts and products. Moving forward, improving forecasting accuracy, diversifying revenue sources, and strengthening demand planning will be critical for sustaining long-term growth and reducing operational risk.